

Probationary officers: General Awareness / Economy/ Banking Knowledge Set -2

61	An 'account payee' crossing means the cheque amount can be credited only to:	Any bearer	The payee's account	The drawer's account	A cash counter	The endorser's account	(b) The payee's account	Account payee crossing directs the collecting bank to credit only the payee's account.
62	The person who draws a cheque is called the:	Drawee	Payee	Drawer	Endorser	Collecting banker	(c) Drawer	The person who writes and signs the cheque is the drawer; the bank is the drawee.
63	In the case of a cheque, the drawee is always:	An individual	A bank	A company	The Government	The RBI	(b) A bank	For a cheque the drawee is always a banker, unlike a bill of exchange.
64	MICR technology used on cheques stands for:	Magnetic Ink Character Recognition	Micro Image Cheque Reading	Machine Integrated Cheque Routing	Magnetic Instrument Code Register	Manual Ink Cheque Register	(a) Magnetic Ink Character Recognition	MICR - Magnetic Ink Character Recognition - enables machine reading of cheques.
65	The MICR code consists of how many digits?	6	9	11	15	12	(b) 9	The 9-digit MICR code has 3 digits each for city, bank and branch.
66	IFSC, used in electronic fund transfers, is a code of:	9 digits	10 characters	11 characters	16 characters	8 digits	(c) 11 characters	IFSC is an 11-character alphanumeric code: first 4 letters identify the bank, the last 6 the branch.
67	Cheque Truncation System (CTS) refers to:	Destroying cheques after payment	Clearing cheques using electronic images instead of physical movement	Cancelling stale cheques	Issuing only digital cheques	Physical transport of cheques by courier	(b) Clearing cheques using electronic images instead of physical movement	CTS clears the electronic image of the cheque, eliminating physical movement.
68	RTGS settles transactions:	In batches at day end	On a gross, real-time basis, transaction by transaction	Only on holidays	Weekly	Netted settlement thrice a day	(b) On a gross, real-time basis, transaction by transaction	RTGS settles each transaction individually in real time on a gross basis, 24x7 since December 2020.
69	The minimum amount for an RTGS customer transaction is:	Rs 1	Rs 50,000	Rs 2 lakh	Rs 10 lakh	Rs 5 lakh	(c) Rs 2 lakh	RTGS minimum for customers is Rs 2 lakh; there is no upper limit.
70	NEFT settles transactions:	Real time individually	In half-hourly batches, 24x7	Once a day	Only during branch hours	Hourly batches on working days only	(b) In half-hourly batches, 24x7	NEFT settles in half-hourly batches and is available 24x7 since December 2019.
71	IMPS, the 24x7 instant payment service, is operated by:	RBI	NPCI	SEBI	SWIFT	IDRBT	(b) NPCI	Immediate Payment Service (IMPS), launched 2010, is run by NPCI.

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72	UPI was launched in which year?	2010	2014	2016	2019	2018	(c) 2016	Unified Payments Interface was launched by NPCI in April 2016.
73	NOSTRO account means:	Our account with a foreign bank in foreign currency	Foreign bank's account with us in rupees	Government account with RBI	Dormant account	RBI's account with the IMF	(a) Our account with a foreign bank in foreign currency	NOSTRO ('ours with you') is our bank's foreign-currency account with a bank abroad.
74	VOSTRO account means:	Our account abroad	A foreign bank's rupee account maintained with an Indian bank	An NRI deposit	A joint account	A suspense account of the bank	(b) A foreign bank's rupee account maintained with an Indian bank	VOSTRO ('yours with us') is a foreign bank's rupee account with an Indian bank; used in rupee trade settlement.
75	The banker's right to combine two or more accounts of the same customer is called:	Lien	Set-off	Appropriation	Garnishee	Hypothecation	(b) Set-off	The right of set-off lets a bank adjust a customer's credit balance against dues in another account.
76	A garnishee order is issued by:	RBI	A court, attaching the customer's account balance	SEBI	The bank's board	Income Tax Department only	(b) A court, attaching the customer's account balance	A garnishee order from a court attaches the debtor-customer's balance held with the bank.
77	Nomination facility in bank deposits is provided under which sections of the Banking Regulation Act?	Section 45ZA to 45ZF	Section 21A	Section 5	Section 17	Section 138 of the NI Act	(a) Section 45ZA to 45ZF	Sections 45ZA to 45ZF of the BR Act, 1949 provide nomination for deposits, safe custody and lockers.
78	A minor can open a savings account independently (self-operated) generally from the age of:	7 years	10 years	15 years	18 years	12 years	(b) 10 years	Per RBI guidelines (2014), minors above 10 years may open and operate savings accounts independently.
79	KYC in banking stands for:	Keep Your Cash	Know Your Customer	Key Yield Curve	Know Your Credit	Key Yearly Compliance	(b) Know Your Customer	Know Your Customer norms verify identity and address under the PML Act framework.
80	The Central KYC Records Registry (CKYCR) is managed by:	CIBIL	CERSAI	NPCI	NSDL	NABARD	(b) CERSAI	CERSAI manages the Central KYC Records Registry (CKYCR).
81	MCLR, introduced in April 2016, stands for:	Marginal Cost of Funds based Lending Rate	Maximum Credit Lending Ratio	Minimum Cash Liquidity Requirement	Monetary Control Lending Rate	Monthly Corrected Lending Rate	(a) Marginal Cost of Funds based Lending Rate	MCLR - Marginal Cost of Funds based Lending Rate - replaced the base rate system in April 2016.
82	From October 2019, new floating rate retail and MSME loans of banks must be linked to:	Base rate	BPLR	An external benchmark such as the repo rate	LIBOR	SBI PLR	(c) An external benchmark such as the repo rate	From 1 October 2019, such loans must be priced against an external benchmark, usually the repo rate (EBLR).

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83	Priority Sector Lending target for scheduled commercial banks is what percent of ANBC?	25 percent	32 percent	40 percent	50 percent	18 percent	(c) 40 percent	PSL target is 40 percent of Adjusted Net Bank Credit for scheduled commercial banks.
84	Which of the following is NOT a priority sector category?	Agriculture	MSME	Education loans	Loans to large corporates for share buyback	Renewable energy loans	(d) Loans to large corporates for share buyback	Priority sector covers agriculture, MSME, education, housing, export credit, renewable energy, social infrastructure and weaker sections.
85	The minimum Capital to Risk-weighted Assets Ratio (CRAR) prescribed by RBI for banks in India (excluding CCB) is:	8 percent	9 percent	10.5 percent	12 percent	11.5 percent	(b) 9 percent	RBI prescribes minimum CRAR of 9 percent, above the Basel minimum of 8 percent, plus capital conservation buffer.
86	Basel III norms primarily deal with:	Trade policy	Bank capital adequacy, stress testing and liquidity risk	Currency printing	Tax administration	Deposit insurance premiums	(b) Bank capital adequacy, stress testing and liquidity risk	Basel III strengthened capital quality, leverage and liquidity standards (LCR, NSFR) after the 2008 crisis.
87	Tier 1 capital of a bank mainly includes:	Revaluation reserves only	Equity capital and disclosed reserves	Subordinated debt	Provisions for NPAs	General provisions on standard assets	(b) Equity capital and disclosed reserves	Tier 1 is going-concern capital: paid-up equity, statutory reserves and other disclosed free reserves.
88	The RB-Integrated Ombudsman Scheme (2021) covers complaints against:	Only PSU banks	Banks, NBFCs and prepaid/payment system participants	Only cooperative societies	Stock brokers	Insurance companies	(b) Banks, NBFCs and prepaid/payment system participants	The Reserve Bank - Integrated Ombudsman Scheme, 2021 merged three separate ombudsman schemes under 'One Nation One Ombudsman'.
89	Banking hours and working days for banks are decided broadly under:	NI Act, 1881	RBI directions and the Banking Regulation Act framework	Companies Act	Shops and Establishment s Act only	State government notifications only	(b) RBI directions and the Banking Regulation Act framework	Bank working hours flow from RBI directions issued under the statutory banking framework.
90	A 'dormant' or inoperative savings account is one with no customer-induced transactions for:	6 months	1 year	2 years	5 years	3 years	(c) 2 years	A savings or current account with no customer-induced transaction for over 2 years is treated as inoperative.
91	The oldest joint stock bank of India still in existence, established in 1865, is:	Punjab National Bank	Allahabad Bank	Bank of Baroda	Canara Bank	State Bank of India	(b) Allahabad Bank	Allahabad Bank (est. 1865) was India's oldest joint stock bank; it merged into Indian Bank in 2020.

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92	The first bank established in India (1770) was:	Bank of Bengal	Bank of Hindustan	General Bank of India	Imperial Bank	Bank of Calcutta	(b) Bank of Hindustan	Bank of Hindustan, set up in 1770 at Calcutta, was India's first bank.
93	The Imperial Bank of India was formed in 1921 by merging:	Three Presidency Banks	Five princely state banks	All foreign banks	Cooperative banks	All banks nationalised in 1969	(a) Three Presidency Banks	Banks of Bengal, Bombay and Madras merged in 1921 to form the Imperial Bank of India.
94	The State Bank of India was constituted in which year by taking over the Imperial Bank?	1949	1955	1959	1969	1935	(b) 1955	The SBI Act, 1955 converted the Imperial Bank into State Bank of India on 1 July 1955.
95	SBI was formed on the recommendation of which committee?	Gorwala Committee (All India Rural Credit Survey)	Narasimham Committee	Hilton Young Commission	Tandon Committee	Khusro Committee	(a) Gorwala Committee (All India Rural Credit Survey)	The All India Rural Credit Survey (Gorwala) Committee recommended a state-partnered bank, leading to SBI.
96	The first phase of bank nationalisation in 1969 covered how many banks?	6	10	14	20	16	(c) 14	On 19 July 1969, 14 major private banks were nationalised.
97	The 1969 nationalisation applied to banks with deposits of more than:	Rs 25 crore	Rs 50 crore	Rs 100 crore	Rs 200 crore	Rs 10 crore	(b) Rs 50 crore	The 1969 nationalisation covered banks with deposits above Rs 50 crore.
98	The second phase of nationalisation in 1980 covered how many banks?	4	6	8	14	10	(b) 6	In 1980, six more banks with deposits above Rs 200 crore were nationalised.
99	Regional Rural Banks were established in which year?	1969	1975	1982	1991	1980	(b) 1975	RRBs were created under the RRB Act framework beginning 2 October 1975.
100	The first RRB established in 1975 was:	Prathama Bank	Baroda UP Gramin Bank	Kshetriya Gramin Bank	Aryavart Bank	Kaveri Grameena Bank	(a) Prathama Bank	Prathama Bank, Moradabad (sponsored by Syndicate Bank), was the first RRB.
101	The share of the Central Government, sponsor bank and State Government in an RRB is:	50:35:15	60:20:20	40:40:20	51:29:20	50:30:20	(a) 50:35:15	RRB capital is shared Centre 50, sponsor bank 35 and State Government 15.
102	NABARD was established in:	1975	1982	1988	1992	1979	(b) 1982	NABARD was established on 12 July 1982 as the apex rural development bank.
103	NABARD was set up on the recommendation of which committee?	B Sivaraman Committee (CRAFICARD)	Narasimham Committee	Khusro Committee	Vaghul Committee	Talwar Committee	(a) B Sivaraman Committee (CRAFICARD)	The B Sivaraman (CRAFICARD) Committee recommended creation of NABARD.

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104	SIDBI, the principal institution for MSME financing, was established in:	1985	1990	1996	2000	1982	(b) 1990	SIDBI was set up in April 1990 as the principal institution for MSME finance.
105	EXIM Bank of India was established in:	1975	1982	1990	1995	1969	(b) 1982	Export-Import Bank of India began operations in 1982.
106	National Housing Bank (NHB) was set up in:	1982	1988	1994	2000	1985	(b) 1988	NHB was established on 9 July 1988 under the NHB Act, 1987.
107	The regulation of housing finance companies was transferred from NHB to RBI in:	2015	2017	2019	2021	2022	(c) 2019	The Finance Act, 2019 shifted regulation of housing finance companies from NHB to RBI in August 2019.
108	The Narasimham Committee I (1991) is associated with:	Financial sector and banking reforms	Tax reforms	Agricultural pricing	Labour reforms	Foreign exchange reforms	(a) Financial sector and banking reforms	Narasimham Committee I (1991) laid the roadmap for banking sector reforms; II (1998) deepened them.
109	The Lead Bank Scheme was introduced in:	1955	1969	1975	1980	1982	(b) 1969	The Lead Bank Scheme was introduced in December 1969 on the Gadgil and Nariman committee recommendations.
110	Under the Lead Bank Scheme, a lead bank is assigned to each:	State	District	Village	Tehsil	Block	(b) District	One bank is designated lead bank for each district to coordinate credit plans.
111	Small Finance Banks and Payments Banks were licensed based on recommendations of which committee?	Nachiket Mor Committee	Damodaran Committee	PJ Nayak Committee	Kelkar Committee	Usha Thorat Committee	(a) Nachiket Mor Committee	The Nachiket Mor Committee (2013) on financial inclusion proposed payments banks and small finance banks.
112	Payments Banks can accept demand deposits per customer up to:	Rs 1 lakh	Rs 2 lakh	Rs 5 lakh	No limit	Rs 25,000	(b) Rs 2 lakh	The deposit ceiling for payments banks was raised from Rs 1 lakh to Rs 2 lakh per customer in 2021.
113	Payments Banks are NOT permitted to:	Issue debit cards	Accept deposits	Lend / issue credit cards	Offer remittance services	Offer internet banking	(c) Lend / issue credit cards	Payments banks cannot lend or issue credit cards; they invest mainly in G-Secs and bank deposits.
114	Small Finance Banks must extend what percent of ANBC to priority sector?	40 percent	50 percent	75 percent	60 percent	85 percent	(c) 75 percent	Small Finance Banks must lend 75 percent of ANBC to priority sector (being glided down per revised norms).

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115	India's first Payments Bank to commence operations was:	Paytm Payments Bank	Airtel Payments Bank	India Post Payments Bank	Fino Payments Bank	Jio Payments Bank	(b) Airtel Payments Bank	Airtel Payments Bank was the first payments bank to launch, in January 2017.
116	The mega merger of public sector banks effective 1 April 2020 reduced the number of PSBs to:	10	12	15	19	21	(b) 12	After the April 2020 amalgamation, public sector banks number 12.
117	In the 2020 merger, Oriental Bank of Commerce and United Bank of India were merged into:	Canara Bank	Punjab National Bank	Union Bank of India	Indian Bank	Bank of Baroda	(b) Punjab National Bank	OBC and United Bank of India merged into Punjab National Bank.
118	In the 2020 merger, Syndicate Bank was merged into:	Canara Bank	Bank of Baroda	Indian Bank	Union Bank of India	Bank of India	(a) Canara Bank	Syndicate Bank was amalgamated with Canara Bank.
119	Allahabad Bank was merged into:	Indian Bank	PNB	UCO Bank	Bank of India	Central Bank of India	(a) Indian Bank	Allahabad Bank merged into Indian Bank; Andhra and Corporation Banks into Union Bank of India.
120	The Business Correspondent (BC) model for doorstep banking was introduced in:	2000	2006	2010	2014	1998	(b) 2006	RBI permitted the Business Correspondent/Facilitator model in January 2006 for doorstep banking.